

World Oil Demand

The global oil demand growth forecast for 2026 remains at a healthy 1.4 mb/d, y-o-y, unchanged from the previous month's assessment. In the OECD, demand is forecast to grow by about 0.15 mb/d, y-o-y, mostly driven by requirements from the Americas, and supported by an uptick from OECD Europe. In the non-OECD, demand is forecast to grow by about 1.2 mb/d, also unchanged from last month's assessment. Oil demand in the non-OECD is forecast to be mostly driven by requirements from Other Asia, supported by India and China. Oil demand growth in 2026 is expected to be driven by transportation fuels, as well as healthy industrial, construction and agricultural activities in non-OECD countries.

Global oil demand growth in 2027 is forecast to rise by a healthy 1.3 mb/d, y-o-y, unchanged from the previous month's assessment. The OECD is expected to grow by 0.1 mb/d, y-o-y, with OECD Americas anticipated to drive oil demand growth in the region. In the non-OECD, oil demand is forecast to grow by about 1.2 mb/d, led by Other Asia, followed by India and China.

Table 4 - 1: World oil demand in 2026*, mb/d

World oil demand	2025	1Q26	2Q26	3Q26	4Q26	2026	Change 2026/25
Americas	25.42	25.07	25.33	26.07	25.67	25.54	0.12
<i>of which US</i>	20.75	20.45	20.74	21.31	20.94	20.86	0.11
Europe	13.42	12.94	13.69	13.76	13.45	13.46	0.04
Asia Pacific	7.10	7.32	6.77	6.87	7.37	7.08	-0.01
Total OECD	45.94	45.33	45.79	46.70	46.49	46.08	0.15
China	16.88	17.00	16.73	17.30	17.29	17.08	0.20
India	5.65	5.89	5.92	5.60	6.10	5.88	0.22
Other Asia	9.81	10.03	10.36	9.98	9.96	10.08	0.27
Latin America	6.90	6.92	7.04	7.09	7.05	7.03	0.13
Middle East	8.95	8.98	8.93	9.32	9.21	9.11	0.16
Africa	4.87	5.06	4.78	4.96	5.31	5.03	0.16
Russia	4.01	4.07	3.86	4.06	4.21	4.05	0.04
Other Eurasia	1.31	1.47	1.33	1.20	1.37	1.34	0.03
Other Europe	0.83	0.83	0.82	0.82	0.92	0.85	0.02
Total Non-OECD	59.21	60.26	59.78	60.32	61.41	60.44	1.23
Total World	105.15	105.59	105.57	107.02	107.90	106.53	1.38

Note: * 2026 = Forecast. Totals may not add up due to independent rounding. Source: OPEC.

Table 4 - 2: World oil demand in 2027*, mb/d

World oil demand	2026	1Q27	2Q27	3Q27	4Q27	2027	Change 2027/26
Americas	25.54	25.14	25.40	26.18	25.76	25.62	0.09
<i>of which US</i>	20.86	20.53	20.81	21.40	21.02	20.94	0.08
Europe	13.46	12.97	13.74	13.80	13.48	13.50	0.04
Asia Pacific	7.08	7.30	6.75	6.85	7.36	7.06	-0.02
Total OECD	46.08	45.41	45.89	46.83	46.60	46.19	0.11
China	17.08	17.16	16.89	17.53	17.53	17.28	0.20
India	5.88	6.11	6.13	5.82	6.33	6.10	0.22
Other Asia	10.08	10.30	10.62	10.24	10.24	10.35	0.27
Latin America	7.03	7.06	7.19	7.21	7.18	7.16	0.14
Middle East	9.11	9.15	9.05	9.51	9.37	9.27	0.16
Africa	5.03	5.22	4.93	5.14	5.46	5.19	0.16
Russia	4.05	4.12	3.91	4.10	4.26	4.10	0.05
Other Eurasia	1.34	1.51	1.36	1.24	1.40	1.38	0.03
Other Europe	0.85	0.85	0.84	0.84	0.94	0.87	0.02
Total Non-OECD	60.44	61.47	60.92	61.63	62.69	61.68	1.24
Total World	106.53	106.89	106.81	108.46	109.29	107.87	1.34

Note: * 2026 and 2027 = Forecast. Totals may not add up due to independent rounding. Source: OPEC.

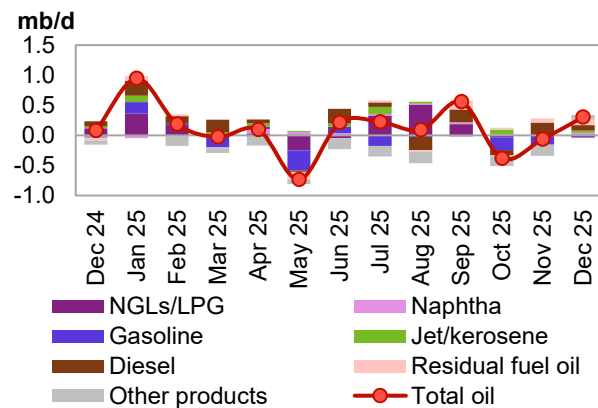
OECD

OECD Americas

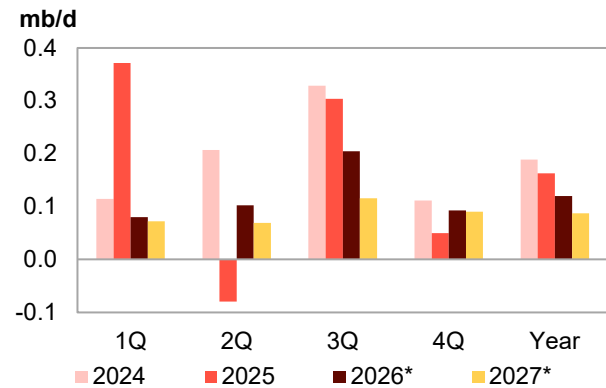
Update on the latest developments

OECD Americas' oil demand in December increased by 300 tb/d, up from a contraction of 64 tb/d, y-o-y, in November. The US accounted for the largest share of the y-o-y rise. Overall increases in demand for diesel, residual fuel, and the 'other products' category more than offset observed y-o-y demand declines in LPG and gasoline in the region.

Graph 4 - 1: OECD Americas' oil demand by main petroleum product category, y-o-y change



Graph 4 - 2: OECD Americas' oil demand, y-o-y change



US

In December, US oil demand increased by 236 tb/d, y-o-y, up from a decline of 140 tb/d, y-o-y, seen the previous month. Y-o-y increases were observed for most products, with only LPG demand seeing a y-o-y contraction. The y-o-y increase in demand was partly due to harsh winter conditions, which supported demand for heating fuel.

Demand for heating fuel saw the largest y-o-y rise, which was partly offset by lower on-road diesel demand, leading to an overall increase of about 70 tb/d, y-o-y, for diesel, down from the growth of 120 tb/d, y-o-y, seen the previous month. Residual fuel demand increased by about 70 tb/d, y-o-y, up from about 50 tb/d, y-o-y, seen the previous month, and the 'other products' category also witnessed a rise of about 70 tb/d, y-o-y, up from a contraction of 165 tb/d, y-o-y, seen a month earlier. Jet/kerosene increased by about 30 tb/d, y-o-y, up from 10 tb/d, y-o-y, the previous month. Gasoline showed a marginal increase of about 10 tb/d, y-o-y, albeit an improvement from a contraction of about 150 tb/d, y-o-y, seen in November. Meanwhile, LPG demand declined by about 50 tb/d, y-o-y, down from a marginal increase of 5 tb/d, y-o-y, observed the previous month. Demand for naphtha increased by about 30 tb/d, y-o-y, up from flat, y-o-y, in November.

Table 4 - 3: US oil demand, mb/d

US oil demand	Change		
By product	Dec 24	Dec 25	Dec 25/Dec 24
NGLs/LPG	4.39	4.34	-0.05
Naphtha	0.13	0.17	0.03
Gasoline	8.77	8.78	0.01
Jet/kerosene	1.72	1.75	0.03
Diesel	3.74	3.81	0.07
Fuel oil	0.31	0.38	0.07
Other products	1.85	1.91	0.07
Total	20.91	21.14	0.24

Note: Totals may not add up due to independent rounding.

Sources: EIA and OPEC.

Near-term expectations

The US economy continues to remain resilient, despite some trade-related policy uncertainties. In 2Q26, economic activities in the region are expected to remain stable, supported by robust consumer spending amid rising real wages. Meanwhile, gasoline demand in the US is expected to recover following severe winter weather that curtailed road travel in certain regions. Accordingly, oil demand in the US is forecast to grow by about 110 tb/d, y-o-y, in 2Q26, while in the OECD Americas region, oil demand is projected to increase by about 100 tb/d, y-o-y.

For 2026, the US economy is expected to maintain steady growth, driven by resilient consumer spending, supported by potential tax adjustments that are expected to lead to higher consumer income, combined with potential monetary easing. The recent ruling of the US Supreme Court declaring reciprocal and country tariffs imposed by the US Administration unlawful has added new uncertainty to the country's foreign trade relations – these were quickly followed by a new blanket tariff of 10% for 150 days. To what extent US companies will file for reimbursement from the government for tariff duties already paid remains to be seen. In addition, midterm elections, culminating in November, may prompt the US government to support consumers through policies that could soften inflation and gasoline prices. Within the OECD Americas region, economic activities in Canada and Mexico are expected to slightly surpass that of 2025.

Meanwhile, the removal of government electric vehicle (EV) tax credits in October 2025 has already had a significant impact on the US EV market. January EV sales in the country were down by 33%, y-o-y, and lower by 27% compared with December, marking the country's lowest monthly EV sales since early 2022. Oil demand in the region is forecast to grow by about 120 tb/d, y-o-y, to average 25.5 mb/d, while oil demand in the US is forecast to grow by around 110 tb/d, y-o-y, to average 20.9 mb/d.

Regarding oil demand by product in OECD Americas, gasoline is expected to drive growth in 2026, supported by healthy driving mobility amid expected declining gasoline prices and slower EVs sales. Jet/kerosene demand is also expected to show a healthy y-o-y increase, driven by stable economic activities and steady business travel during the summer. However, diesel demand is projected to soften marginally, y-o-y. Regarding petrochemical feedstock demand, NGLs/LPG demand is expected to show healthy growth, y-o-y, and naphtha demand is projected to also increase, albeit moderately. Demand for residual fuels and the 'other products' category is expected to decline y-o-y.

In 2027, economic activities in the US are projected to remain healthy. With this, oil demand in the OECD Americas is expected to increase by about 90 tb/d, y-o-y, to average 25.6 mb/d. The US is forecast to drive regional oil demand growth with an increase of about 80 tb/d, y-o-y, to average 20.9 mb/d.

OECD Europe

Update on the latest developments

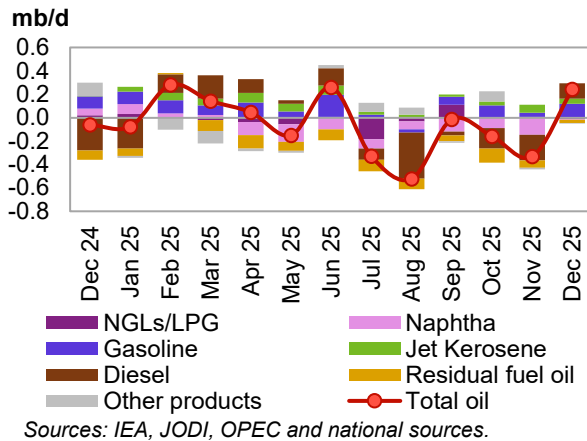
Oil demand in OECD Europe in December surged by about 240 tb/d, y-o-y, following a decline of about 330 tb/d, y-o-y, seen in November. The y-o-y increase in product demand is in line with a y-o-y total product stock decline. Increases were largely seen in France, the UK, Turkey and Spain.

Regarding oil product categories, transportation fuels led a y-o-y demand increase in December, with diesel showing the largest increase of about 130 tb/d, y-o-y, up from a decline of about 220 tb/d, y-o-y, seen the previous month. Demand for gasoline also increased by about 120 tb/d, y-o-y, up from a growth of about 40 tb/d, y-o-y, seen in November. The y-o-y increase in gasoline demand came largely from France and Germany. Meanwhile, European gasoline exports to the US reportedly fell in December, y-o-y. Jet/kerosene demand increased by about 40 tb/d, y-o-y, albeit down from the growth of about 70 tb/d, y-o-y, seen a month earlier.

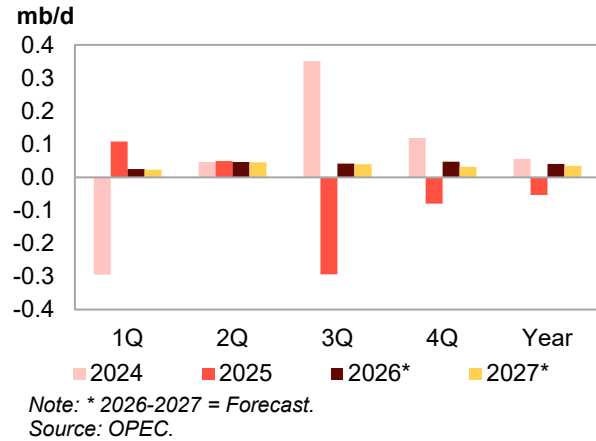
In terms of petrochemical feedstock demand in December, NGLs/LPG saw a decline of about 10 tb/d, y-o-y, down from the growth of about 10 tb/d, y-o-y, seen the previous month. Naphtha demand also saw a minor decline of about 10 tb/d, y-o-y, though this was an improvement from a large decline of about 150 tb/d, y-o-y, in November. Naphtha demand in the region has been in decline since April 2025, due to weak manufacturing and petrochemical sector activities.

Meanwhile, residual fuel demand saw a decline of about 30 tb/d, y-o-y, in December, though this was an improvement from a decline of about 60 tb/d, y-o-y, seen the previous month. Demand for the 'other products' category was minor at 5 tb/d, from a decline of about 10 tb/d, y-o-y, seen the previous month.

Graph 4 - 3: OECD Europe's oil demand by main petroleum product category, y-o-y change



Graph 4 - 4: OECD Europe's oil demand, y-o-y change



Near-term expectations

In 2Q26, economic activities in the region are expected to remain resilient, supported by domestic demand and Germany's fiscal package. In addition, the impact of the new blanket tariff imposed by the US is only marginally higher than the previous tariff, with a number of exceptions. Moreover, the services sector in the region continues to show expansion, as seen in the services Purchasing Managers' Index (PMI). The manufacturing PMI rose modestly to 49.5 in January, reflecting a modest improvement in the sector's performance. Meanwhile, annual inflation in the Eurozone eased to 1.7% in January 2026, down from 1.9% seen in December 2025. Accordingly, these factors are expected to support oil demand growth in the region of around 50 tb/d, y-o-y, in 2Q26.

For 2026, economic activities in the region are expected to continue to be moderate but steady, driven by strengthening domestic demand amid rising real wages and employment. Meanwhile, the recovery in consumer demand for goods and services continues, supported by improving real incomes amid resilient labour markets. Significant government spending on infrastructure and fiscal stimulus in Germany is projected to boost growth, which is expected to support the domestic economy. Currently, new orders are doing very well in Germany, supported by stimulus packages and government spending. However, trade and political uncertainties remain. Meanwhile, the free trade agreement between the EU and India is expected to see diesel and jet/kerosene trade benefiting the most among oil products, with the EU being the key market for Indian refiners. Overall, the region is projected to see oil demand growth of about 40 tb/d, y-o-y, in 2026, to average 13.5 mb/d.

In terms of oil demand by product, air travel activities and road mobility are expected to support transportation fuel demand, with jet/kerosene having the strongest demand outlook of the key products. Gasoline demand is also expected to grow, particularly if EV penetration remains slow and the switch from diesel-powered vehicles continues in 2026. A preliminary report from the European Automobile Manufacturers' Association (ACEA) in January shows that the diesel car market continued to decline, with registrations down by 22%, y-o-y. In 2025, the share of diesel registrations was estimated at about 9%. Regarding petrochemical feedstock, demand for both naphtha and NGLs/LPG is projected to remain broadly flat, y-o-y. Demand for diesel, residual fuel oil and the 'other products' category is projected to decline slightly, y-o-y.

In 2027, healthy economic growth in the region is projected to continue, trade-related uncertainties are expected to subside, and exports are expected to rebound. Germany's fiscal package is expected to strengthen public investment and stimulate external demand. Furthermore, road mobility and air travel are expected to remain relatively healthy. Accordingly, these factors are anticipated to support oil demand in the region, which is forecast to grow about 40 tb/d, y-o-y, in 2027 to average 13.5 mb/d.

OECD Asia-Pacific

Update on the latest developments

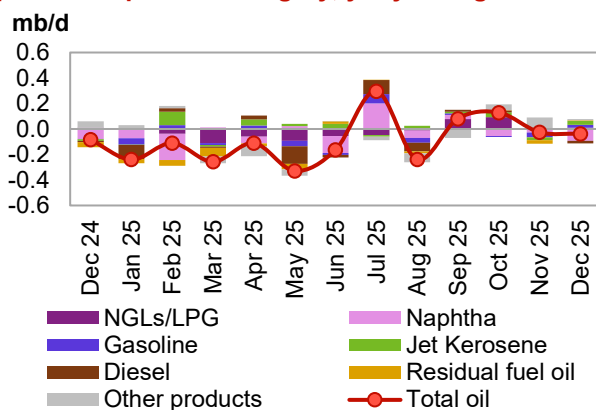
Oil demand in the OECD Asia-Pacific region eased by about 40 tb/d, y-o-y, in December, down from a decline of about 30 tb/d, y-o-y, in November. Within the region, South Korea showed the largest decline of about 80 tb/d, y-o-y, while Japan saw only a marginal decline of 5 tb/d, y-o-y. Oil demand in Australia increased by 50 tb/d, y-o-y.

Regarding specific oil product demand in the region in December, jet/kerosene demand saw the largest increase of 30 tb/d, y-o-y, up from a decline of about 20 tb/d, y-o-y, seen a month earlier. This increase aligned with the International Air Transport Association's (IATA's) Air Passenger Monthly Analysis in December 2025, which indicated that Asia Pacific carriers saw their total traffic rise by 6.3%, y-o-y. Moreover, growth came largely from Japan, where domestic Revenue Passenger Kilometres (RPKs) grew by 4.8%, y-o-y. Demand for gasoline saw an increase of about 20 tb/d, y-o-y, up from a decline of about 40 tb/d, y-o-y, the previous month.

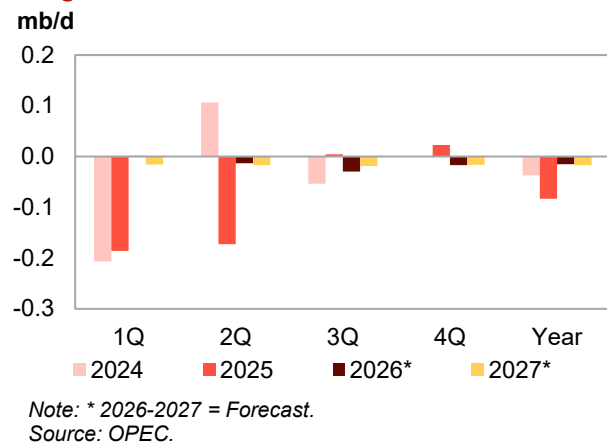
Meanwhile, demand for the 'other products' category saw a marginal uptick of about 10 tb/d, y-o-y, though this was below an increase of about 90 tb/d, y-o-y, in November. Demand for residual fuels saw an uptick of 5 tb/d, y-o-y, up from a decline of about 30 tb/d, y-o-y, in November.

As for petrochemical feedstock, NGLs/LPG demand increased slightly by about 10 tb/d, y-o-y, up from flat y-o-y growth in November. Naphtha demand contracted by about 90 tb/d, y-o-y, down from a decline of about 30 tb/d, y-o-y, seen the previous month. Demand for diesel slipped by about 20 tb/d, y-o-y, down from broadly flat y-o-y in November.

Graph 4 - 5: OECD Asia Pacific oil demand by main petroleum product category, y-o-y change



Graph 4 - 6: OECD Asia Pacific oil demand, y-o-y change



Near-term expectations

In the near term, Japan's economy is expected to remain stable, driven by domestic demand, including solid capital expenditure and improved private consumption, supported by rising wages. Meanwhile, Japan's inflation slowed sharply to 2.1% in January, its lowest level since March 2022. Accordingly, oil demand in the region is anticipated to soften by about 10 tb/d, y-o-y, in 2Q26.

In 2026, economic activities in Japan – the region's largest economy – are projected to moderate below 2025 growth rates. The new government is expected to stimulate the economy through the issuance of sovereign debt. Both manufacturing and services PMIs were above a contractionary trajectory in January, supported by improving business activities and strengthening output. However, continued uncertainty in the export sector and moderate consumer demand could offset these gains. The South Korean economy is expected to rebound somewhat, supported by improved consumption and easing weakness in construction. Similarly, Australia's economy is expected to experience moderately higher growth than in 2025, driven by stronger domestic demand amid public spending. This improvement is the basis for a lesser oil demand decline in 2026 of about 15 tb/d, y-o-y, in the region, to average 7.1 mb/d. Specific products, including transportation fuels, petrochemical feedstock and the 'other products' category, are expected to increase marginally, while somewhat larger y-o-y declines in residual fuel and diesel are projected to more than offset those increases.

In 2027, oil demand in the region is forecast to decline slightly by about 20 tb/d, y-o-y, to average 7.1 mb/d.

Non-OECD

China

Update on the latest developments

China's oil demand in January increased further by about 420 tb/d, y-o-y, up from a growth of about 350 tb/d, y-o-y, observed in December. Strong y-o-y growth in naphtha and transportation fuel demand more than offset an observed decline in NGLs/ LPG and residual fuel oil requirements.